LGD vs EAD

Loss Given Default (LGD) and Exposure at Default (EAD) are both important metrics used in credit risk management to calculate the potential losses from a loan default:

- **LGD**
  The percentage of the loan amount that a lender expects to lose if the borrower defaults. LGD is calculated by dividing the total loss by the EAD.
- **EAD**
  The total value of the loan at the time of default. EAD is a key component in calculating regulatory capital and managing credit risk.

LGD is a crucial factor in determining the severity of a loss. It takes into account the borrower's asset base and collateral, which can affect the potential loss. LGD is a key component of the Basel Model, a set of international banking regulations.